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Presents



Session 03 – Trading Positional Options spreads in stocks as well as indices

22nd July 2022, Thursday, 8pm ~ 10pm

Abhijit Phatak

Chief Marketing Officer, Definededge Securities



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Options Talk : Long Options Vs Vertical Spreads

Abhijit Phatak



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Speaker Introduction



Abhijit Phatak

➤ **Abhijit Phatak**

has been studying and trading on the basis of charts since 2003-2004. He has developed a unique method of identifying what the market is up to, on the basis of charts of Options, and also straddles, OI of options and Put Call ratio at various strike prices. He has observed on many occasions how options charts have a different story to tell, sometimes exactly opposite to what the chart of the underlying is showing.

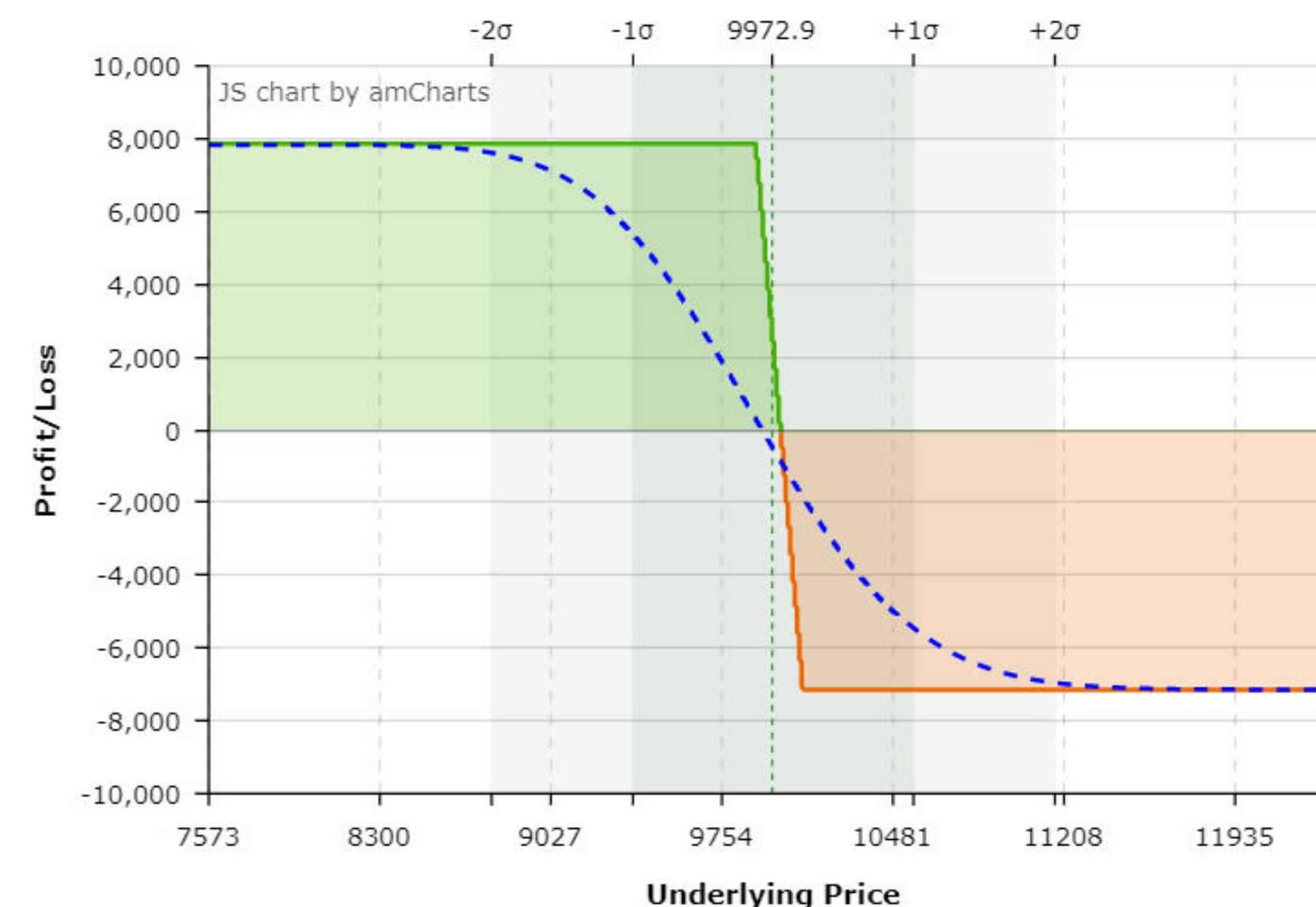
Momentum of a trend in the underlying can also be identified on the basis of charts of a bunch of straddles. Almost all the techniques have been developed on his own by observing them over the years and many of the techniques that he uses are not found in any text book of technical analysis. He conducts sessions on his observations that have been well received by participants.



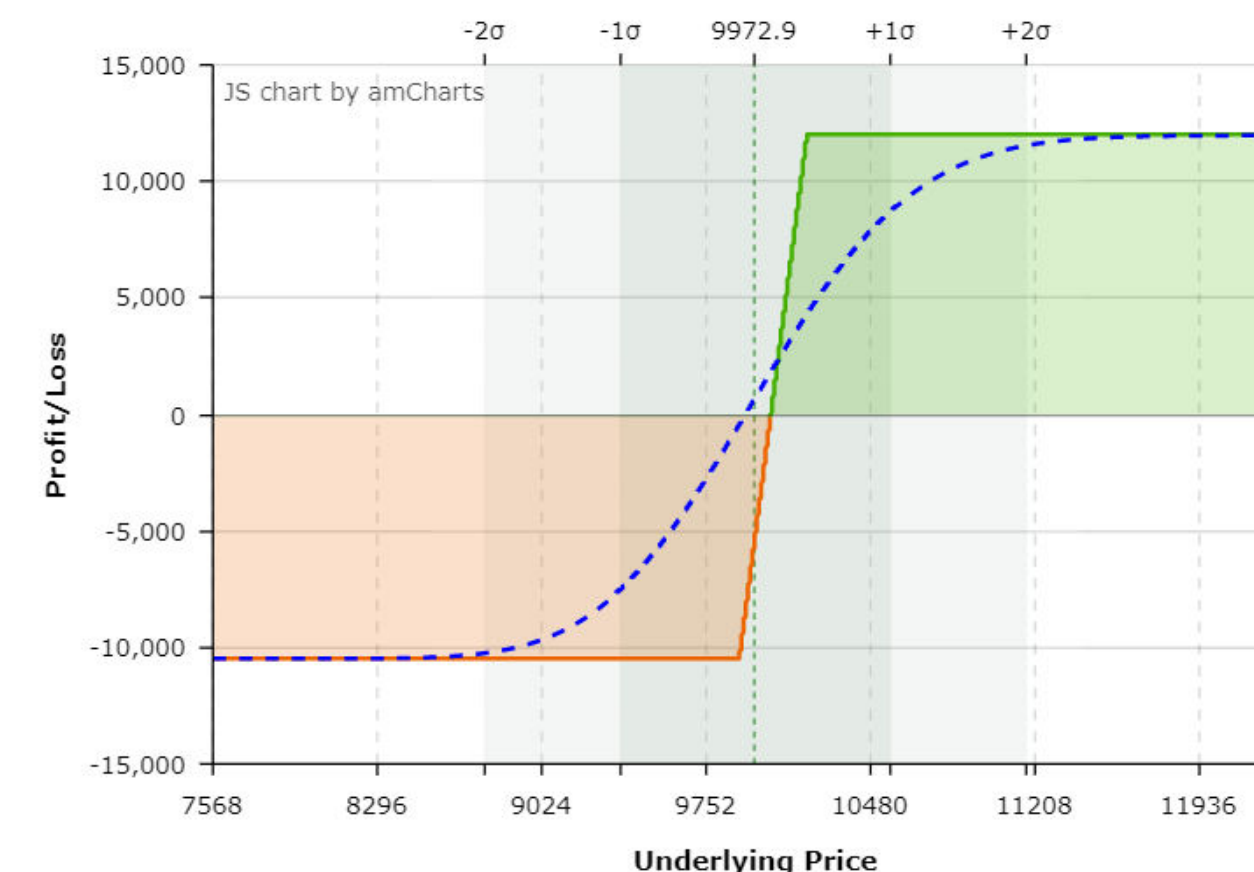
- **Long Call** : Buy a Call option when you have a bullish view
- **Long Put** : Buy a Put option when you have a bearish view
- Undefined (unlimited) profit potential
- Maximum loss is the premium you pay to buy them – so defined risk strategies
- Low probability strategies (30-50% Probability of Profit)
- Direction, momentum of the direction, time & volatility should be in its favour
- Both these strategies should ideally be placed when Implied Volatility (or option premium) is low



- Buying a call/put option and at the same time selling a call/put option of a different strike of same expiry
- Capture moderate underlying moves
- Limited risk bullish or bearish positions
- Lower to medium probability strategies (40-65%)
- Minimizes risks associated with long options
- Different kind of spreads under different volatility conditions (Low IV/High IV)
- Combines directional as well as Implied Volatility view

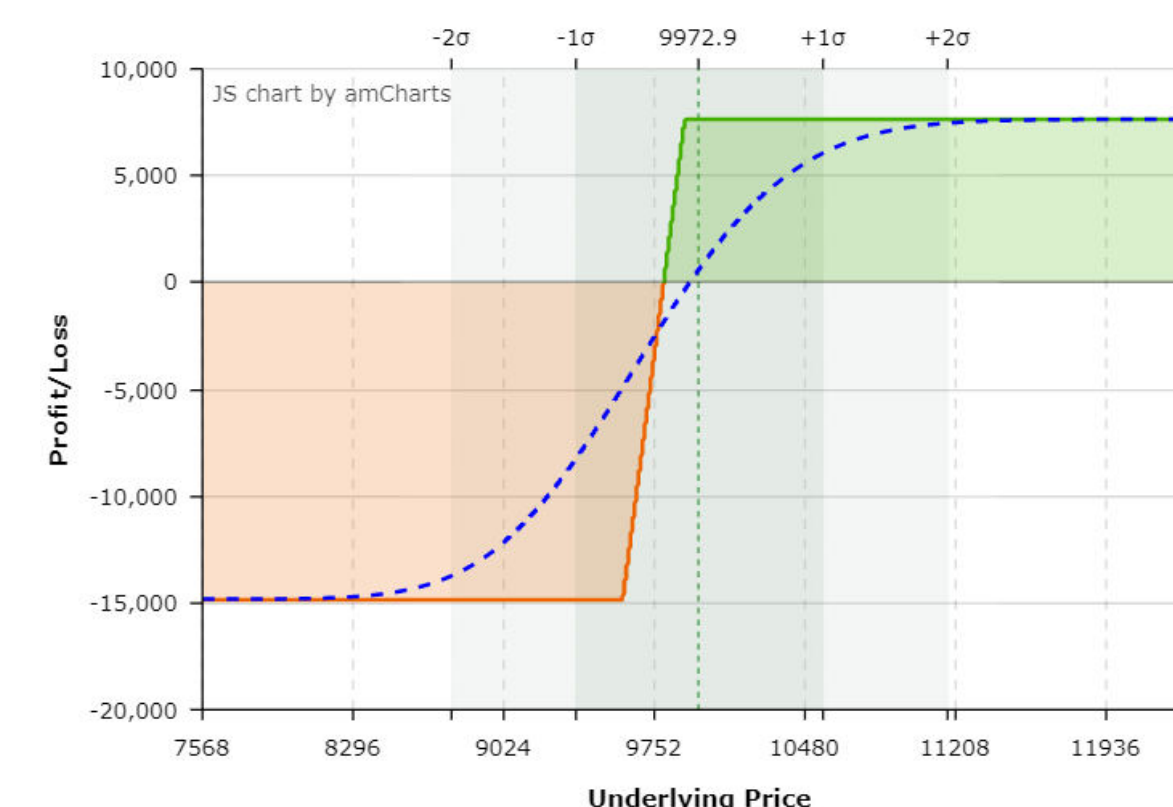


- **Debit Spread Strategies:**
 - Buy ITM/ATM options and Sell ATM/OTM options
 - Bull Call Spread & Bear Put Spread strategies
 - Buying a spread
- **Credit Spread Strategies:**
 - Sell ATM/OTM options and Buy OTM/far-OTM options
 - Bear Call Spread & Bull Put Spread Strategies
 - Selling a spread
- Credit Spreads have higher probability of profit (POP) than Debit Spreads
- Debit Spreads are ideal under low IV conditions & Credit Spreads are ideal under high IV conditions
- Credit Spreads are less directional compared to Debit spreads
- Credit spreads profit even when underlying doesn't move but Debit Spreads need the underlying to move in its direction to make profit



**Bull
Call
Spread**

**Bull
Put
Spread**





Definededge

Long Options Vs Vertical Spreads



LONG OPTIONS	VERTICAL SPREADS
• Unlimited profit potential	• Limited Profit Potential
• Limited Risk	• Limited Risk
• Lower Probability (30-40% POP)	• Lower to Medium Probability (40-65% POP)
• Theta Decay Risk	• Theta Decay negligible
• Volatility (Vega) Risk	• Volatility Risk negligible
• Directional Risk	• Minimal directional risk
• Underlying has to move fast to be profitable	• Has more time for the trade to workout



Definededge Nifty 15800-16100 CE credit spread





Definededge Nifty 15800-15500 PE debit spread



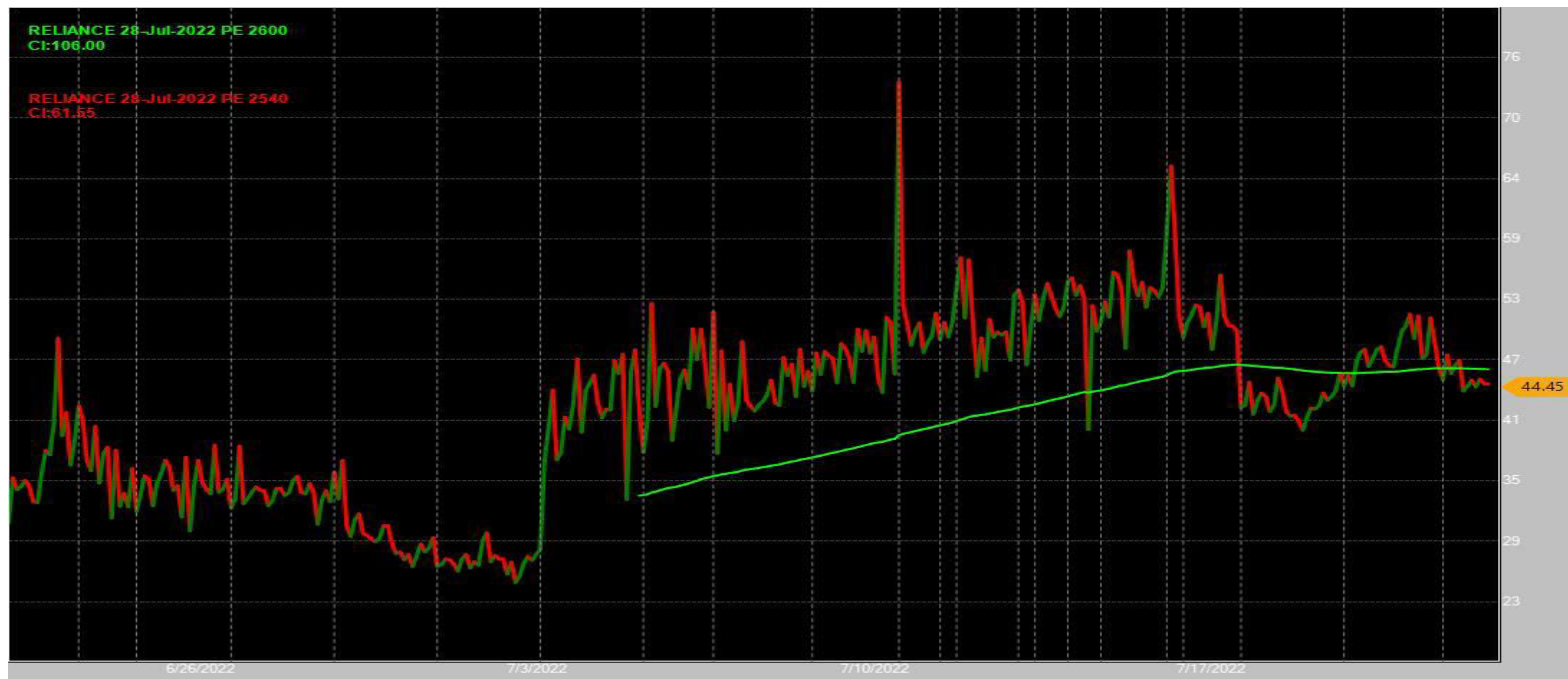


Definededge Nifty 15800-16100 CE debit spread





Definededge Reliance 2600-2540 PE debit spread





Definededge Reliance 2600-2660 CE debit spread





Definededge Reliance 2600-2660 CE credit spread





Definededge Tata Steel 860-900 CE debit spread





Definededge Tata Steel 860-820 PE credit spread





Definededge

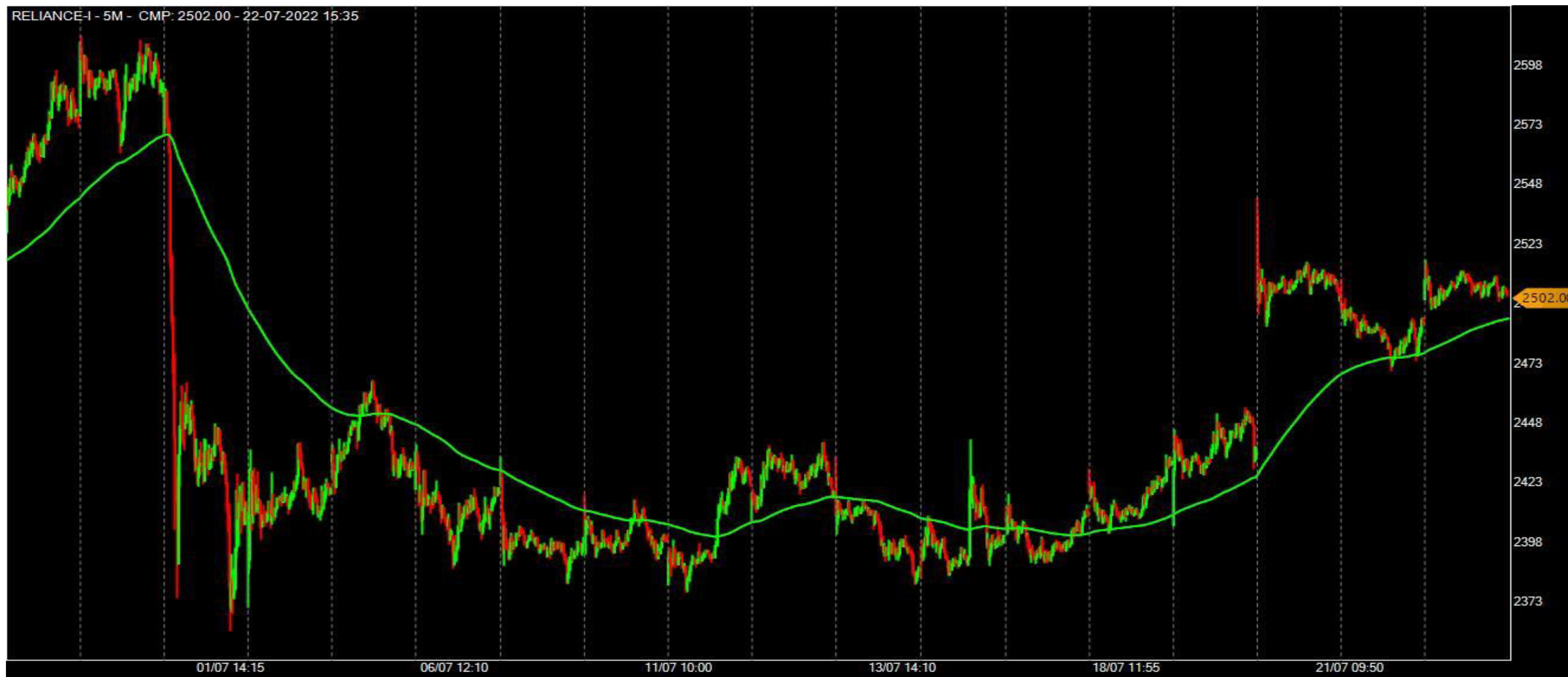
Nifty Futures





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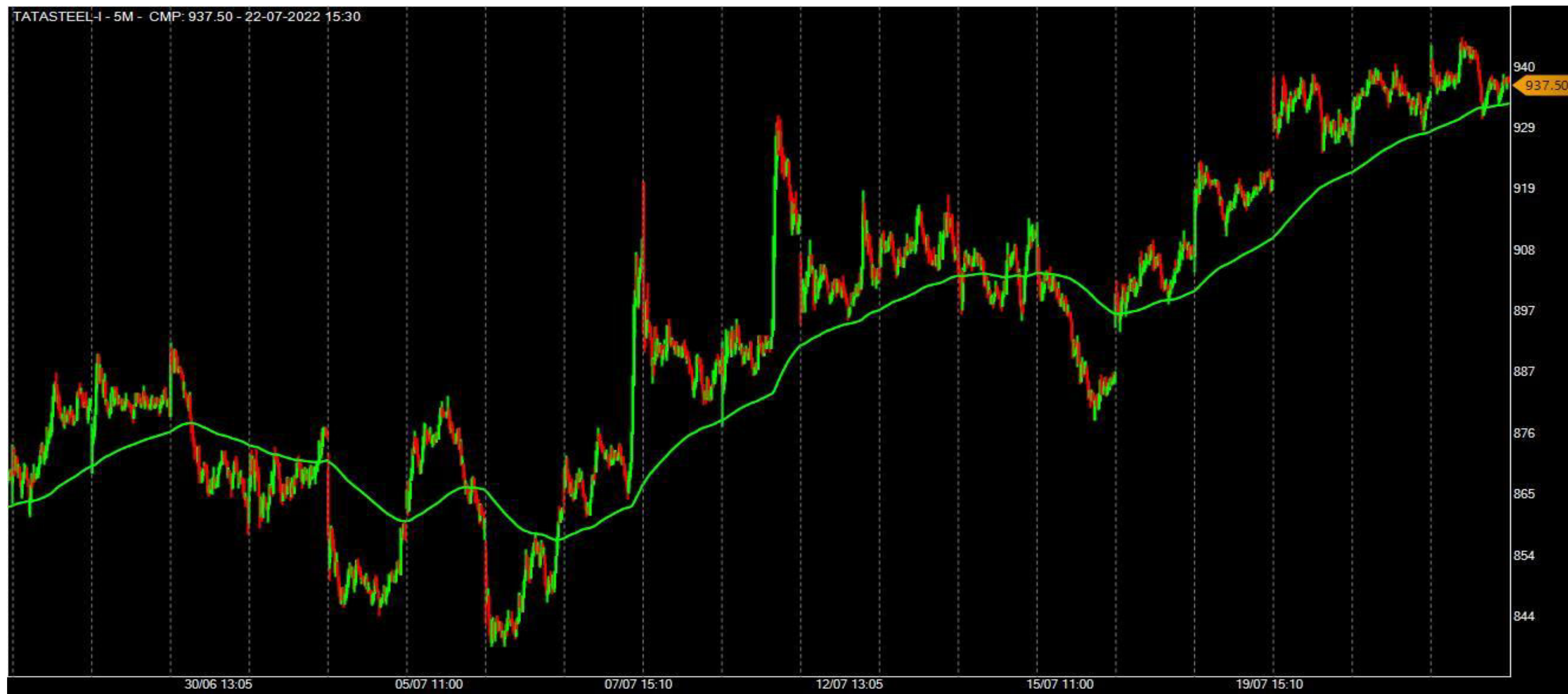
Reliance





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Tata Steel







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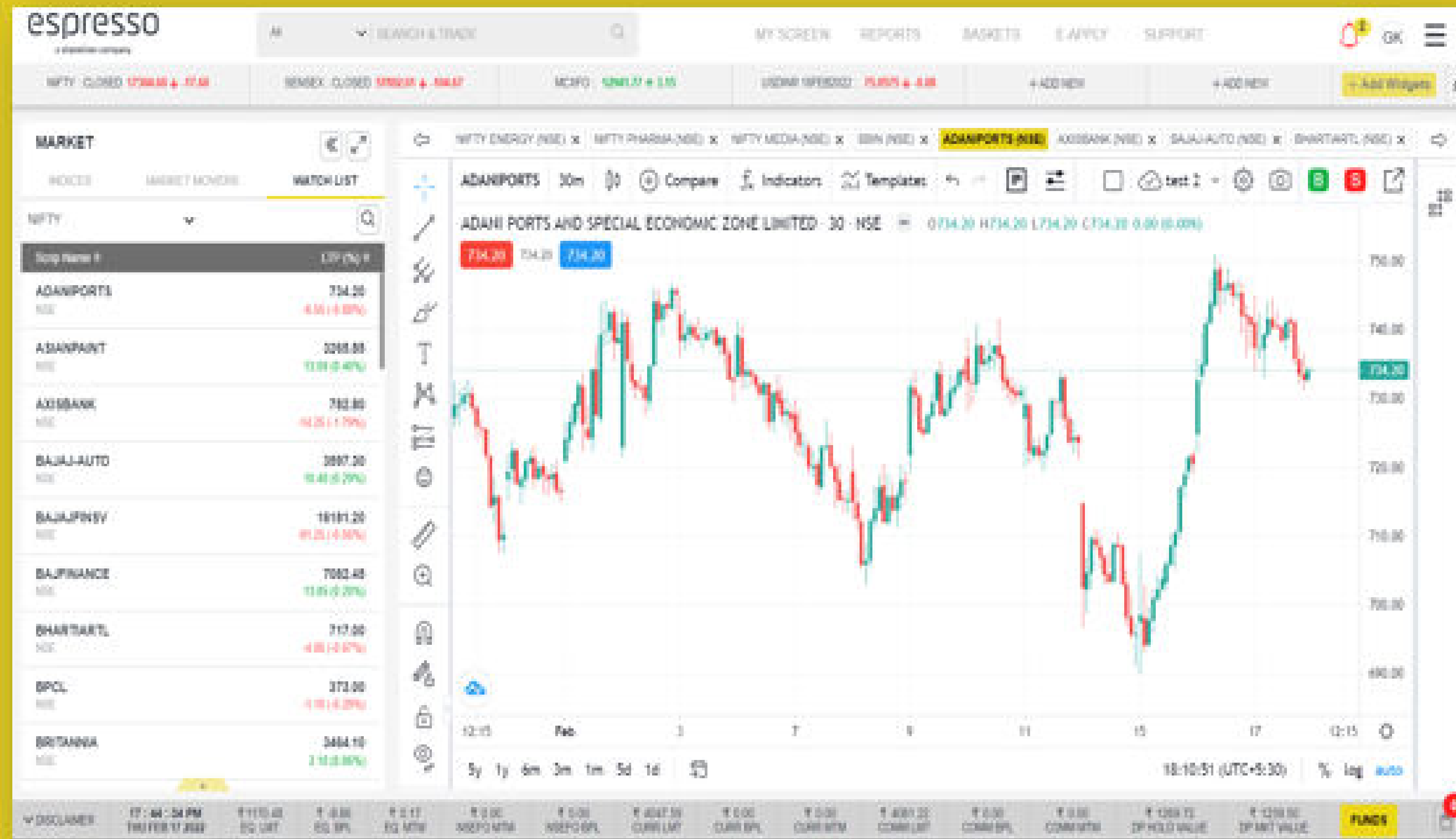
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- **350+ Cash Market Scrip For MIS Trading**
- **Place Bracket Order for Nifty/Bank Nifty**
- **AMO Order**
- **Pre-IPO Order**

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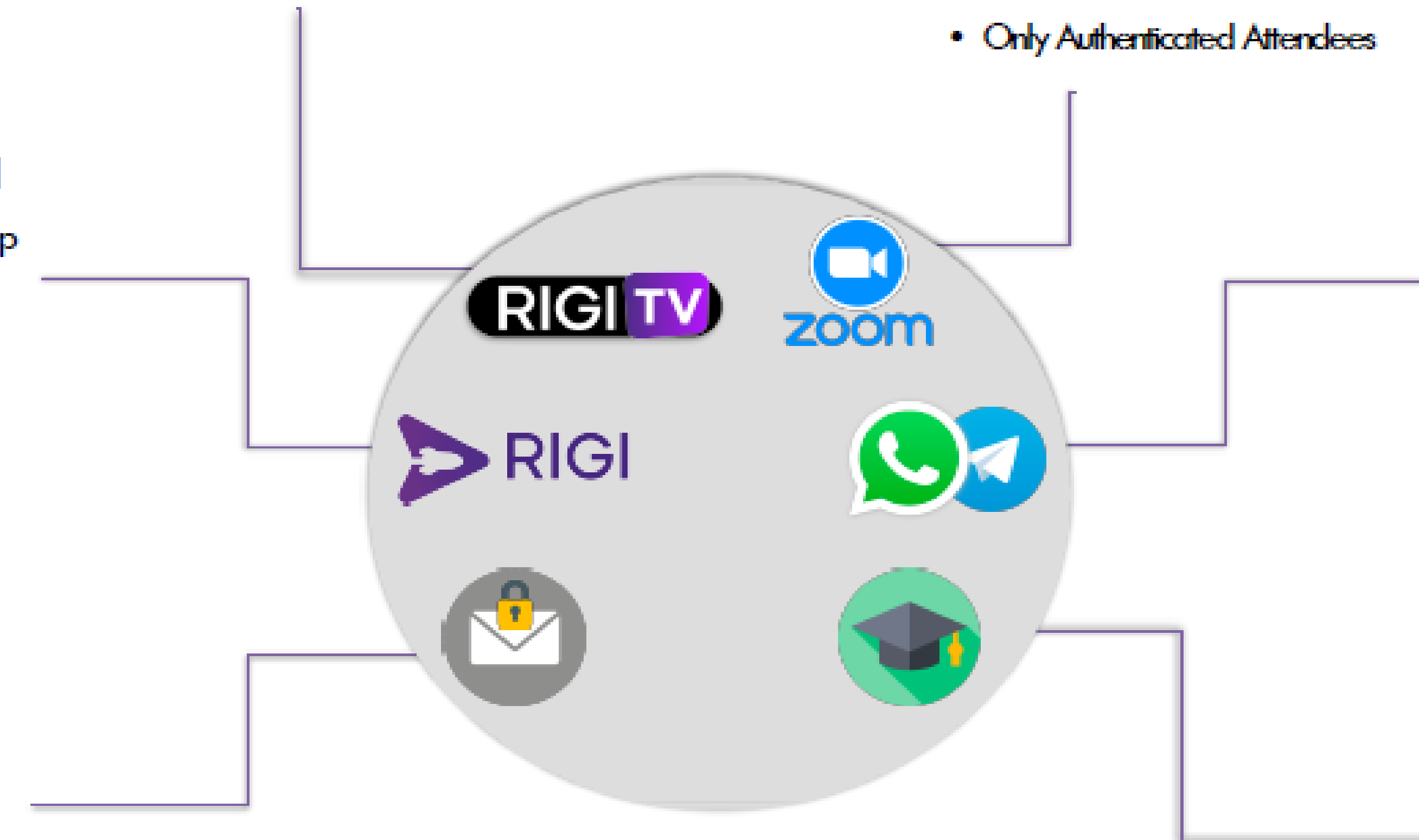
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4. A Million \$ Fund manager
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6. One of the expert Straddle players with 100 lots

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Conclave Manager – Fazil – 6360107848

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3rd Quiz of the Series

When using the bull call spread, the traders anticipates the stock or index to _____.

- A. Rise
- B. Fall
- C. Remains the same

Winner Reward

1. Daily one winner will be selected
2. All the 12 winners of each day will have free access to the Intrazon event of 2022 with life time recording access
3. There is a **Man of the Option Omega Series award** for 1 winner who should win at least 3 times in the 12 day series
4. He will get **Educational goodies worth 100000/-** from Traders Gurukul

Quiz 02 - Winner

What trend Interpretation we can do when PCR range is between 0.8 to 1.2?



A Durga Giridhar

The Answer is **Sideways**

Questions & Answers





Thank you

Abhijit Phatak

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